THE SMITH MANOEUVRE

Three Reasons to Consider the Smith Manoeuvre™

Do you have the wrong kind of debt? The kind that is not tax deductible? Most of us do, and even in the case of 'good' non-deductible debt, such as your house mortgage, you can pay so much in interest expense that your other financial goals and priorities suffer. But there is help.

Almost 35 years ago, Canada was introduced to ***The Smith Manoeuvre*** a simple, powerful strategy that extends tax-saving benefits to almost any Canadian homeowner. You can learn more about this financial strategy at **www.smithman.net** but before you do, consider three main reasons thousands of Canadians have taken, or are taking, this approach to financial security.

1. Your mortgage is not tax-deductible.

   Let's have a look at how tax affects your bottom line when it comes to paying off your mortgage.

   A $500,000 mortgage at 4.0% over 25 years will set you back about $289,000 in interest costs. So this means that the $500,000 mortgage will end up costing you over $789,000.

   But the other half of the issue is that the money you're using to pay down your mortgage is after-tax income. You receive your paycheque, less your income tax, and then make your mortgage payment. What this means is that you'll have to earn about $1,127,000 to pay off your home if you're at the 30% tax bracket. This should begin to put into perspective how challenging it is for homeowners to save for retirement or any other of life's financial goals.

   But if you make your mortgage tax deductible using ***The Smith Manoeuvre***, you will receive a large proportion of the interest you pay, back to you in the form of annual tax refunds. And you are free to use these refunds any way you see fit.

2. You may not think you have the resources to 'out-manoeuvre' the tax problem – but you do!

   The wealthy have debt too – just because they are 'wealthy' does not mean they don't borrow to buy their homes as well, just like the rest of us. The difference is they routinely turn their non-deductible mortgage loans into tax deductible 'good debt' by enlisting the help of well-paid accountants and tax lawyers.

This traditionally has meant that the rest of us – the 'non-wealthy' had to continue crawling along with each mortgage payment, using after-tax income to make non-deductible interest payments.

But not anymore – you have the ability to act like the wealthy and transform your mortgage into tax deductions and a significant, comforting, retirement investment portfolio.

3. Most Canadians are not investing enough, early enough

   Although we may have the best of intentions, after ever-rising taxes and the cost of making ends meet, most of us don't have the resources to put away 10% of our income or max out our RRSPs or TFSAs every year to enjoy the magic of compound growth. Life just gets in the way.

   But reducing your income tax and generating tax refunds is a remarkably good way to free up more of your wealth to reduce the burden of your mortgage and build up your retirement nest-egg faster.

   For many, the process of making their mortgage tax-deductible opens up another $700, $900, or more, each month, in order to invest and simultaneously speed up the pay-down of their mortgage.

The Smith Manoeuvre™ employs refined and proven debt conversion techniques to effectively convert mortgage interest into tax deductions leading to a snowball effect of growing annual tax refunds, faster mortgage pay-down, and higher overall growth of a retirement investment portfolio. This strategy helps homeowners to balance the cost of their home with the priorities they have for retirement and family.

The Smith Manoeuvre™ has been reviewed by Revenue Canada staff, and endorsed by respected financial experts and economists, investment planners, and lenders. I encourage you to visit www.smithman.net to learn about how this strategy works and if it's right for you. Act now – "procrastination is the enemy of your financial success!"